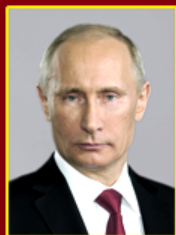


CURRENT AFFAIRS



RUSSIA-INDIA REVIVING OLD TIES



41st WEEK 2016

UPSC

CAPSULE - 2

ALL EXAMS

10th Oct to 16th Oct



17th INDIA -RUSSIA ANNUAL SUMMIT



ABOUT RUSSIA

- 1 Russia is the major successor country after the breakdown of the then USSR in 1991.
- 2 It is the largest country in the world by area.
- 3 Area is 17,075,200 km²
- 4 Population is 144.2 mn (2016 estimate)
- 5 Russia has international borders with 16 sovereign states, including two with maritime boundaries (US, Japan), as well as with the occupied Georgian territories of South Ossetia and Abkhazia.
- 6 Capital is Moscow
- 7 Currency is Russian Ruble (RUB)
- 8 It followed the socialistic pattern of Governance
- 9 The then USSR was the second pole vis-à-vis USA.
- 10 Country has got substantial petroleum reserves and developed mastery over defence production.
- 11 GDP (nominal) \$ 1.133 trillion
- 12 HDI is 0.798







17th INDIA -RUSSIA ANNUAL SUMMIT



RUSSIA AND THE WORLD IN RECENT TIMES

- 1 The then USSR maintained socialistic pattern of society along with East European countries. But now, socialistic pattern of governance is not the feature in many countries and hence, countries supporting Russia reduced drastically after 1991
- 2 NATO extending their reach towards East European countries is not palatable for Russia.
- 3 After the Annexation of Crimea by Russia, Western countries imposed sanctions against Russia and Russia felt isolated and looking towards countries like China, Pakistan etc.,
- 4 Recently, it conducted joint Naval Exercises in the South China sea along with China and stated that the issues like the South China Sea dispute, are to be sorted out with mutual discussion among the countries.
- 5 Russia-China Natural Gas pipeline is also under finalization and overall it appears it is inching towards China.
- 6 In Syria, it is supporting the Government led by Bashar al-Assad and the USA is supporting the Rebels and the proposed ceasefire has failed to take off.
- 7 Recently, it conducted joint Military Exercises with Pakistan, which was the cold war enemy, and it indicates that it is looking at new friends, basically to expand cooperation in energy and defence matters.





17th INDIA -RUSSIA ANNUAL SUMMIT



RUSSIA AND INDIA

- 1** Russia (the then USSR) followed the socialistic pattern of Governance and Jawaharlal Nehru's Policy as the first Prime Minister was also with socialist bias. Hence, both the nations (The then USSR and India) became natural friends.
- 2** Though India followed non-alignment as a founding member of non-alignment, India knocked at the doors of Moscow during the first 50 years after Independence, whenever the need arose.
- 3** Russia used to be the largest defence equipments supplier to India, but they reduced substantially in recent times as India is procuring more and more defence equipments from countries like the USA, France etc.
- 4** After 2000, India tilted towards the United States of America and recent signing of LEMOA by India is a case in point.



Logistics Exchange Memorandum of Agreement (LEMOA)





17th INDIA -RUSSIA ANNUAL SUMMIT



RUSSIA AND INDIA

- 5 The bond between India and the USA further strengthened after the present Government came to power in 2014.
- 6 Recent Military Exercises between Russia and Pakistan are not palatable for India as Pakistan is strongly believed to be behind cross border terrorism.
- 7 In energy sector, India is building strong linkages with Russia as Indian firms acquired stake in Russian oil entities from Rosneft and at the same time Russia is building Kudankulam Nuclear Power Project in India. This shows energy ties are quite strong between both the countries.
- 8 However, trade and investment relations are not up to the mark and this needs improvements.



Arabian Sea

Bay of Bengal
Kudankulam

TAMIL NADU



17th INDIA -RUSSIA ANNUAL SUMMIT



SALIENT FEATURES

1 Altogether 16 Agreements / MoUs are signed and more emphasis is on defence procurement.

- 1.** Inter-Governmental Agreement (IGA) on purchase of 5 numbers of “S-400 Triumf” air defence systems at a cost of over \$ 5 bn (Rs. 39,000 cr).
 - These are designed by Almaz-Antey Central Design Bureau.
 - Referred to as SA-21 Growler by NATO.
 - It is considered one of the most advanced long range defence systems in the world.
 - India is the second country after China to get this air defence system.
 - These will be operated by the Indian Air Force.
 - It can tackle all airborne targets at a range of up to 400 km.



17th INDIA -RUSSIA ANNUAL SUMMIT



SALIENT FEATURES

2

India and Russia also signed an Inter-Governmental Agreement for 4 additional Krivak or Talwar Class Stealth Frigates. This is expected to cost upwards of \$ 3 bn.

- Two ships will be built in Russia and other two in India with Russian assistance.
- India had earlier procured 6 frigates of the same class.
- These ships are armed with the BrahMos supersonic cruise missiles.



17th INDIA -RUSSIA ANNUAL SUMMIT



SALIENT FEATURES

- 3** Hindustan Aeronautics Limited (HAL) and Rostec State Corporation signed a Pact worth \$ 1 bn to set up a Joint Venture that will make at least 200 Kamov-226T Utility Helicopters in India.
- These are capable of operating at 20,000 feet.
 - They will help to maintain the forward posts in Siachen Glacier.
 - They will replace the age old Cheetah and Chetak fleets.
 - HAL will own 50.5%



17th INDIA -RUSSIA ANNUAL SUMMIT



SALIENT FEATURES

- 4 Signed an agreement on “Information Security”
 - It is aimed at countering terrorism, drug trafficking and other illegal cross border activities.
- 5 The establishment of a ministerial-level Military Industrial Conference to identify new projects and resolve pending issues
- 6 A Science and Technology Commission to facilitate development and sharing of cutting-edge technologies.



17th INDIA -RUSSIA ANNUAL SUMMIT



OTHER ASPECTS

- 1 Both the Leaders dedicated to the Nation, 2nd Unit of the Kudankulam Atomic Power Plant. They also laid the foundation stone for two more Units at Kudankulam Nuclear Power Plant.
- 2 Russian Direct Investment Fund (RDIF) will work with an Indian fund to invest \$ 1 bn.
 - RDIF worked with Indian Infrastructure firm, IDFC to invest \$ 1 bn in power projects previously.
 - RDIF and NIIF will each invest up to \$ 500 mn in the joint fund to take care of infrastructural needs.



**RUSSIAN DIRECT
INVESTMENT FUND**



17th INDIA -RUSSIA ANNUAL SUMMIT



OTHER ASPECTS



3

A Consortium led by Russian Oil major Rosneft will purchase 98% of Essar Oil and a port terminal at Vadinar for almost \$ 13 bn.

- Oil trading firm Trafigura and private investment group United Capital Partners are the other firms in the Consortium.
- Essar Oil Ltd., will be sold for Rs. 72,800 cr (\$ 10.9 bn) and this all cash deal includes India's second largest refinery at Vadinar with a capacity of 20 mn tonnes.
- Another \$ 2 bn will be paid for the port terminal at Vadinar that feeds the refinery.



ROSNEFT



TRAFIGURA



UNITED
Capitalpartners

ESSAR 



FINAL COMMENT

1 With more emphasis on defence deals as well as energy ties in recent times, India tried to ward off the impression that it is tilting towards the United States of America.

2 By fast-tracking defence deals, India tried to stave off the impression that India is moving towards West even in defence purchases also.

3 As Russia is antagonized by the West and tilting towards China, India appears to be taking cautious approach as moving towards USA may be detrimental if 21st Century becomes synonymous with Asia's rise.

Though defence ties will be strengthened with these deals, energy ties are already in the right perspective, the other aspect which needs focus is increasing trade and investment ties between India and Russia.